Century Enka Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · NSE: CENTENKA · BSE: 500280 · Aditya Birla Group · Report prepared 6 Nov 2026

Not investment advice. Do your own due diligence. This follows on from our Q1-2027 report on Century Enka and reads on its own, so you don't need the earlier one.

1. Snapshot

What the business does: Century Enka spins nylon into two products. Nylon filament yarn (NFY) goes to weavers who make sarees, dress material, sportswear and luggage fabric. Nylon tyre cord fabric (NTCF) goes to tyre makers, where it forms the skeleton inside tractor, two-wheeler and truck tyres. It buys caprolactam and nylon chips, which follow crude oil, and earns the spread between that cost and its selling price. It controls neither crude nor the cheap Chinese yarn that sets the ceiling on prices. EBITDA below means operating profit before interest, tax and depreciation.

Measure	Value	What it means in plain words
Market cap	₹968 cr	What the whole company is worth on the market. Share ₹443, down from ₹622 at our last report.
Price vs book value	₹443 / ₹713	The share trades at about 0.6 times the accounting value of its own assets. The market doesn't think it earns its keep.
Q2 FY27 revenue	₹558 cr	Up 37% on a year ago, but mostly because raw material got dearer and was passed on. Volume rose 13%.
Q2 FY27 EBITDA	₹33 cr, 5.88% margin	Down from ₹86 cr (15.5%) in Q1 and from 7.7% a year ago. Below management's own 7-10% "normal" band.
Q2 FY27 net profit	₹19 cr	Down 17% on a year ago, and down from ₹61 cr in Q1. The Q1 windfall is gone.
H1 FY27 (Apr-Sep)	₹1,113 cr / ₹119 cr / ₹80 cr	Revenue, EBITDA and profit for six months. Looks great on paper, but most of it is Q1's one-off inventory gain.
P/E	6.7	Cheap on trailing profit, but that profit includes the one-off quarter.
ROCE	8.3%	About ₹8 of pre-tax profit a year per ₹100 of capital. Poor, and the main reason the stock sits below book.
Dividend yield	2.5%	A modest cash return while you wait.

2. Concall coverage

Period	Call date	Read?
Q4 FY22 → Q4 FY26 (17 calls)	May 2022 - May 2026	Carried forward from the Q1-2027 report
Q1 FY27 (boundary of last report)	29 Jul 2026	Carried forward from the Q1-2027 report
Q2 FY27	28 Oct 2026	**Newly deep-read in full ★**

Only the Q2 FY27 call was read in full this time. The history comes from our earlier report, which read every call from May 2022.

★ Latest concall highlights - Q2 FY27 (call held 28 Oct 2026)

- **The windfall reversed, as management said it would.** EBITDA fell to ₹33 cr from ₹86 cr in Q1, margin 5.88% from 15.46%. The cheap-inventory gain that lifted Q1 faded, and caprolactam is now $2,000-2,100 a tonne after the Iran war pushed crude and benzene up. Read: the "normalise" warning in July was honest. It just normalised to below their own floor.
- **Revenue up on price, volume up modestly.** Sales ₹558 cr (+37%), volume 20,162 tonnes (+13% on a year ago, +5% on Q1). Yarn ₹293 cr (+39%), tyre cord ₹251 cr (+37%). Read: the top line mostly tracks raw-material prices, so it says little about the business.
- **Tyre-cord sales hit by imports.** Tyre makers booked extra imported fabric in Q1 as insurance against gas and supply shocks. Management expects that to normalise "in coming quarters" but warned it could repeat while the war goes on.
- **PTCF slipped again, now Q4 FY27.** Commercial sales of the car-tyre polyester fabric were promised for "H2 FY27" in July. Now it's Q4 FY27, with good utilisation only by the second half of FY28. The extra hybrid power at Bharuch also slipped from Q3 to Q4 FY27, worth about ₹10 cr a year once running.
- **Guidance unchanged.** "Normal" margin still 7-10%, and the MD said plainly Q2 isn't in that range either. Value-added yarn is heading to about half of yarn sales "in the near term". Tone: calm, careful, no forward numbers beyond that.

Business mix & capacity

Domestic vs export: Exports are 4-5% of turnover (management's figure). The EU and UK trade deals could help later, through the recycled Nuenyl yarn, but nothing yet. Read: a domestic business that takes the full hit from cheap imports.
Product split (Q2 FY27): Yarn ₹293 cr, tyre cord ₹251 cr. Roughly half and half.
Capacity use: About 85% of 92,000 tonnes a year in Q2, usually 80-90%. No nylon expansion needed. Small mother-yarn and value-added additions get capitalised next year. Read: plenty of headroom, but no new volume engine either.

★ Since our last report

Builds on our Q1-2027 report (boundary call 29 Jul 2026). Prior verdicts: **trigger MAYBE**, **management consistent MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Q1 margin was a one-off	Underlying margin roughly 7%, the floor of guidance	Q2 margin 5.88%, below the floor	Confirmed, and worse
PTCF sales in H2 FY27	Re-dated seven times, "treat dates as aspirations"	Now Q4 FY27, ramp to H2 FY28	Slipping (eighth re-date)
Renewable power to ~50% in Q3 FY27	The believable promise	New hybrid now starts Q4 FY27	Slipping (a quarter)
Value-added yarn mix	Real but undisclosed	"Increasing quarter-on-quarter", heading to about 50%. Still no number given.	On-track (unverifiable)
Anti-dumping duty	Denied again, don't count on it	Not raised on the call. Imports now hurting tyre cord too.	No change

Verdict change this quarter: both unchanged at MAYBE, but both lean weaker. The trigger is weaker because the business fell below its own normal margin band once the one-off washed out. Consistency is weaker because two more dates slipped, though management was again honest about the margin.

★ 3. Earning-trigger thesis

Management's story is still margin, not growth: move the yarn mix toward value-added products that earn more, cut the power bill with group-captive renewable power, and finally sell PTCF into car tyres. The levers are sensible and FY26's margin did rise on falling sales. But this quarter showed how thin it is. Once the Q1 inventory gain went, the business earned under 6%, below the bottom of its own guided range, because crude-linked raw materials and grid power both got dearer and imports took tyre-cord volume. None of the three levers is big enough yet to beat that. The two that would add something new, PTCF and the extra hybrid power, both moved back a quarter.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Value-added yarn mix	VAP share rising, near 50% of yarn soon, more capex going there	Yarn sales +39%, but no mix figure. Margin still fell.	Ongoing	Moderate	Unchanged
Renewable / hybrid power	New hybrid from Q4 FY27, ~₹10 cr a year saving	First hybrid already working. Grid tariffs rising at Bharuch.	FY28	Moderate	↓ a quarter later
PTCF (car-tyre fabric)	Commercial sales Q4 FY27, good use in H2 FY28	Still no commercial sales since the plant was built in Mar 2024	FY28	Weak	↓ slipped again
Tyre-cord demand from GST cut	Still "a major driver"	Tyre cord +37%, but imports took volume. Replacement market softer than OEM.	2-4 qtrs	Moderate	↓ imports bit
Anti-dumping duty	Not discussed this call	Never notified	Unknown	Weak	Unchanged

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2 FY24 → Q1 FY25	Build the ₹300 cr+ capex programme on time	All plants commissioned on or ahead of time	Delivered
Q2 FY24 (Nov 2023)	PTCF commercial results from Q3 FY25	Re-dated again and again. Now Q4 FY27.	Missed badly
Q3 FY25 (Feb 2025)	PTCF margins over 10%; BIS quality order soon; renewables by mid-FY26	PTCF margin cut to 6-8%. BIS order never came. Renewables slipped.	Walked back
Q4 FY25 (May 2025)	Fire-hit plant back by June; FY26 volume +5-10%	Plant back on time; volume fell 6%	Split
Q4 FY26 (May 2026)	Normal margin raised to 7-10%	FY26 at 8.7%; Q2 FY27 at 5.88%, below the band	Partly
Q1 FY27 (Jul 2026)	Q1 margin will normalise; PTCF in H2 FY27; renewables ~50% in Q3 FY27	Margin normalised (too far). PTCF moved to Q4. Hybrid moved to Q4.	Partly
Q2 FY27 (Oct 2026)	PTCF sales Q4 FY27; hybrid power Q4 FY27; VAP to ~50%	Pending	Too early

Narrative drift: The strategy is the same as it's been for four years: two products, move up the value chain, no acquisitions, no debt. What keeps drifting is dates. PTCF has now been moved for the eighth time, and the hybrid power slipped a quarter. On numbers they stay tight-lipped: no mix split, no product-level capacity, no PTCF volumes "for competitive reasons". To their credit, they warned in July that Q1's margin wouldn't last, and this time they said straight out that even Q2 isn't normal. They're honest about what's already happened and still unreliable on what's coming.

5. Bottom line - two verdicts

Durable earning trigger? → MAYBE (vs last quarter: unchanged, leaning weaker)

What moved it: the underlying margin showed up, and it's lower than we thought. Last quarter we stripped out the inventory gain and got roughly 7%, the floor of guidance. This quarter, with no one-off either way, the business made 5.88%. Raw material, grid power and LNG all got dearer, and imported tyre cord took volume. The levers management names are real but small. Value-added yarn is unquantified, the next hybrid power project is worth about ₹10 cr a year, and PTCF still hasn't sold anything commercially more than two and a half years after the plant was built. It stays a MAYBE only because volumes did grow 13% and FY26 showed margins can improve when raw materials are calm. This is a spread business waiting for crude to settle, not a company with a growth trigger.

Management consistent? → MAYBE (vs last quarter: unchanged)

What moved it: two more dates slipped, and the honesty held. PTCF went from H2 FY27 to Q4 FY27 and the hybrid power from Q3 to Q4, both without much explanation. But the July warning that Q1's margin would normalise came true, and the MD didn't dress up Q2 either. He said it was below the normal range. On physical delivery (plants, fire recovery, debt-free balance sheet) the record is good. On market calls and timelines it isn't. Same split as last quarter, so the same verdict.

Sources: Century Enka Q2 and H1 FY27 earnings-call transcript (call 28 Oct 2026, filed 31 Oct 2026) via Screener.in; Screener.in snapshot and quarterly results to Sep 2026; our own Q1-2027 Century Enka report for the history from May 2022 to Jul 2026. Century Enka reports as a single segment, so product-level margins and the value-added share aren't disclosed. This is not investment advice.